

BRIEFING NOTE

UNIVERSITY OF CAPE TOWN



South African IPPs: Financial Close & Commercial Operations Monitor

H1 2026 update: Operations YTD, closures YTD, full-year outlook, and historical context (2011–H1 2026)

Briefing note August 2026

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17

Confirmed project completion

YTD 30 June 2026

1,920 MW

Operational capacity YTD

Solar, wind, storage

9

Confirmed financial close YTD

YTD 30 June 2026

4,123 MW

Full-year capacity reaching operation

45 (17 operational + 28 expected to deliver in H2 2026)

EXECUTIVE SUMMARY

The H1 2026 update tracks South African independent power producer (IPP) activity from 1 January to 30 June 2026. The main headline from this period is the large number of IPPs entering the commercial operations phase: **17 IPP projects reached commercial operation in H1 2026**, adding 1,920 MW to the grid. This is South Africa's largest ever half-year addition of IPP commercial operation capacity .

Of the 17 commissioned projects, **10 are privately-procured** (1,046 MW), selling to a mining or industrial off-taker, and **7 are publicly procured** (874 MW) drawn from the REI4P Bid Windows 5 and 6 and the RMIPPPP. A further 28 IPP projects (2,202 MW) are expected to reach commercial operation in H2, which would take full-year 2026 to roughly 4,123 MW, more than double the previous record.

An IPP typically progresses from project development, including securing land, permits, grid access, an offtake agreement and financing, through construction, commissioning and operation. Financial close is the point at which the financing agreements become effective and the project has secured the funds needed to proceed with construction, making it a key measure of committed future capacity. Commercial operation, or the Commercial Operation Date (COD), is reached once the project has been completed, commissioned and accepted for operation under its contractual arrangements, marking the point at which committed capacity becomes operational and begins supplying electricity.

The financial-close side of the market tells a quieter story. Only one further IPP, the **77 MW/308 MWh Hartebeesfontein Battery Energy Storage System (BESS)** project (Mulilo, BESI4P Bid Window 2), reached financial close since the Q1 status report (covering 1 January to 30 April), taking the year-to-date tally from the eight closures confirmed in Q1 to nine, for a total of 1,713 MW¹.

Most of the projects that have started commercial operations in 2026 reached financial close in 2024 (40 projects, representing 3,576 MW), which was the previous record year for the industry. Most of the 2024 financial close transactions were privately procured. Because 61% of the planned capacity in the 2026 financial-close book is publicly procured, public procurement is set to remain a key contributor to new project builds over the next few years. This reinforces the Q1 2026 finding that REI4P remains decisive, both as a volume driver and as the benchmark for private-market tariffs.

¹ Reported figure is lower than previously published (i.e., in Q1 2026), as the database has been standardised to record capacity consistently in MWac.

1. CONFIRMED OPERATIONAL IPPs IN H1 2026: A RECORD HALF-YEAR

Seventeen IPPs reached commercial operation in H1 2026, adding 1,920 MW to the South African grid. Table 1 lists all 17 commissioned projects, categorised by procurement channel.

Table 1. Confirmed IPP reaching commercial operations in South Africa, 1 January to 30 June 2026.

Project	Technology	Contracted (MWac)	Installed (MWac/ MWh)	FC Year	Offtaker	Developer	Procurement Programme	Power Delivery Method
Mooi Plaats	Solar PV	240	240	2024	Anglo American Platinum and others.	EDF + Anglo American Plc	Private	Wheeling
Umsobomvu	Wind	140	140	2024	Anglo American Platinum and others.	EDF + Anglo American Plc	Private	Wheeling
Bolobedu	Solar PV	148	148	2023	Rio Tinto	Voltalia	Private	Wheeling
ARM Platinum Mining	Solar PV	100	100	2023	ARM Platinum	AREP + SOLA Group	Private	Wheeling
Impofu North	Wind	110	110	2024	Sasol + Air Liquide	Enel Green Power	Private	Wheeling
Impofu East	Wind	110	110	2024	Sasol + Air Liquide	Enel Green Power	Private	Wheeling
Impofu West	Wind	110	110	2024	Sasol + Air Liquide	Enel Green Power	Private	Wheeling
Lephalale 1	Solar PV	68	68	2023	Exxaro Resources	Exxaro Resources (Cennergi)	Private	Captive (Behind-the-meter)
PPC Slurry	Solar PV	10	10	2024	PPC	Sturdee Energy	Private	Captive (Behind-the-meter)
PPC Dwaalboom	Solar PV	10	10	2024	PPC	Sturdee Energy	Private	Captive (Behind-the-meter)
<i>Privately-procured subtotal</i>		1,046	1,046		<i>10 projects</i>			
Mulilo Total	Solar PV + BESS	75	216 ² /500	2023	NTCSA	TotalEnergies + Reatile	RMIPPPP	Grid Supply
Hydra Storage								
Phezukomoya	Wind	140	140	2022	NTCSA	EDF + H1 Holdings	REI4P BW5	Grid Supply
Coleskop	Wind	140	140	2023	NTCSA	EDF + H1 Holdings	REI4P BW5	Grid Supply
Doornhoek PV	Solar PV	120	120	2024	NTCSA	AMEA Power	REI4P BW6	Grid Supply
Umoyilanga 2 ³ (Dassiesridge)	Wind +BESS	55	108/135	2023	NTCSA	EDF + Perpetua	RMIPPPP	Grid Supply
Grootspuit PV	Solar PV	75	75	2024	NTCSA	Engie + Pele	REI4P BW5	Grid Supply
Graspan PV	Solar PV	75	75	2024	NTCSA	Engie + Pele	REI4P BW5	Grid Supply
<i>Publicly-procured subtotal</i>		680	874		<i>7 projects</i>			
Total		1,726	1,920		17 projects			

Source: Power Futures Lab, IPP Knowledge Hub (July 2026 snapshot). Sorted by procurement channel, then installed capacity. Analysis in this brief is based on installed capacity (MWac); contracted capacity is shown for reference and is lower for storage projects, which are contracted at firm dispatchable capacity.

² Solar capacity is stated in MWp rather than MWac and therefore slightly overstates installed capacity relative to the other projects. Under RMIPPPP, the relevant capacity metric is the overall contracted MWac required to meet dispatchability requirements; a standalone MWac capacity for the solar component is therefore not specified.

³ Umoyilanga is a 75 MW RMIPPPP project spanning two sites. Dassiesridge (63 MW wind, 45 MW/135 MWh battery) reached provisional commercial operation, providing 55 MW of net dependable capacity. Full commercial operation depends on commissioning the Avondale component (115 MW solar, 30 MW/90 MWh battery).

Key themes from the H1 2026 confirmed project completions

- **Mining and industrial demand is an anchor of newly commissioned projects.** All 10 privately-procured projects that reached commercial operations are contracted to mining or industrial off-takers. Anglo American accounts for 380 MW (Mooi Plaats and Umsobomvu, through the Envusa Energy joint venture with EDF), Sasol and Air Liquide for 330 MW (the Impofu wind triplet, developed by Enel), and Richards Bay Minerals, ARM Platinum, Exxaro, and PPC for the remaining 336 MW.
- **Wind is being commissioned at significant scale.** Wind reached commercial operations across seven projects for a combined 815 MW: the Impofu triplet, Phezukomoya, Coleskop and Umsobomvu (750 MW), and the 65 MW wind component of Umoyilanga 2 at Dassiesridge. Wind has historically lagged solar PV in South African commissioning. H1 2026 represents a step-change, and it notably arrives through both procurement channels (public and private) at once.
- **Storage is becoming increasingly common.** Two renewable energy projects with battery storage components reached commercial operations under public procurement: Mulilo Total Hydra Storage (216 MW/500 MWh) and Umoyilanga 2 at Dassiesridge (108 MW/135 MWh battery). The Q2 financial close of the Hartebeesfontein BESS project represents the continuous growth of the storage pipeline.
- **The debt stack is entirely domestic.** Every project in Table 1 with disclosed financing raised its debt from South African commercial banks or DFIs: RMB, Nedbank, Absa, Standard Bank, Investec, and DBSA recur throughout. The local capital market is now funding large, 100 MW+ tickets as a matter of course.
- **EDF is the largest delivery partner of H1 2026.** EDF Power Solutions appears in 5 of the 17 commissioned projects (Phezukomoya, Coleskop, Umoyilanga 2, Mooi Plaats, Umsobomvu), a combined 768 MW spanning public and private channels.

2. FINANCIAL CLOSE UPDATE SINCE Q1 2026

Between the Q1 2026 brief cutoff (30 April 2026) and this cutoff (30 June 2026), a single further IPP reached financial close: the **Hartebeesfontein BESS**, a 77 MW/308 MWh standalone battery storage project developed by Mulilo under BES14P Bid Window 2. It is the only closure drawn from the 26-project advanced pipeline flagged in Q1, and it takes the tally from the eight closures confirmed in Q1 to nine for the year to date, across 1,713 MW.

Financial close activity slowed markedly after April. This does not necessarily indicate weaker investor appetite. Some projects may be taking longer to clear the final commercial and grid-connection steps. The connection process is multi-stage, and developers have reported delays in processing and in coordination between Eskom's Grid Access Unit and NTCSA, although it is not yet clear how much of the current slippage can be attributed to these factors.

The remaining pipeline is still substantial: RE14P Bid Window 7 accounts for 1,520 MW, Bid Window 6 for 640 MW, BES14P Bid Window 2 for 462 MW, and the private-sector pipeline for 621 MW. There have been signs of progress, including Infinity Power's conditional EPC award for the 240 MW Highveld project, but the timing of the Bid Window 7 projects will largely determine the full-year outcome. If a significant share reaches financial close in Q3 and Q4, the 2026 total could still approach the trajectory set out in the earlier brief.

3. 2026 CAPACITY REACHING COMMERCIAL OPERATIONS BY PROCUREMENT CHANNEL

Combining H1 commissioned projects (1,920 MW) with the 28 further planned in H2 (2,202 MW) puts full-year 2026 on track for 4,123 MW across 45 projects. Figure 1 splits the total by procurement channel and stage.

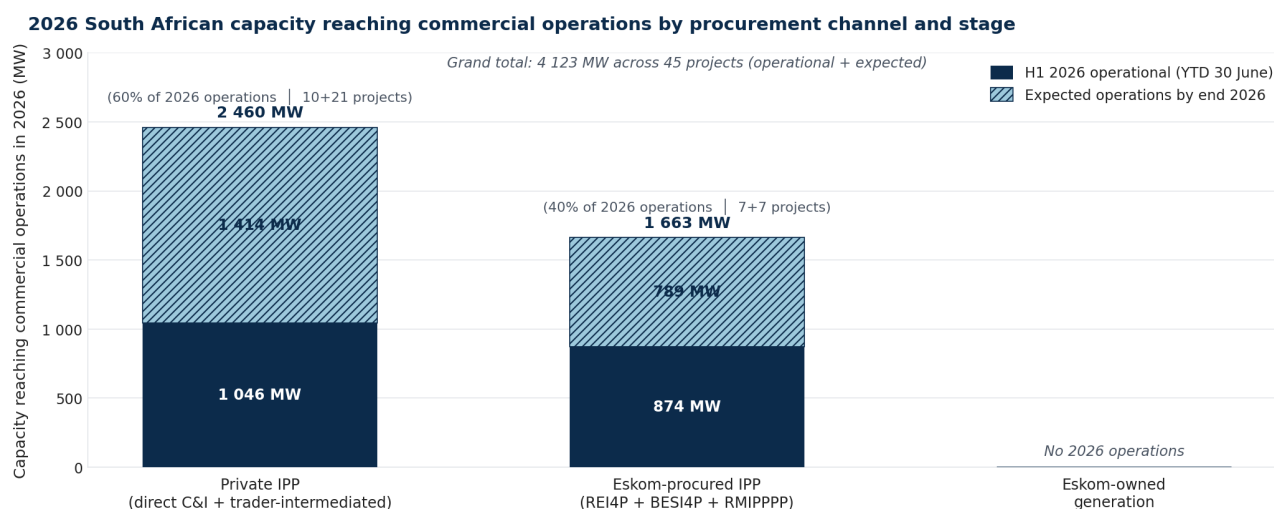


Figure 1. 2026 South African capacity reaching commercial operations by procurement channel and stage.

Source: Power Futures Lab, IPP Knowledge Hub (July 2026). All capacity figures are in MW of AC output. Eskom generation recorded at nominal MW.

What the procurement split reveals

- Private leads recent delivery, while public leads recent commitment.** IPPs selling to private off-takers account for roughly 60% of the capacity expected to reach commercial operation across 2026. The 2026 financial-close book, confirmed plus advanced pipeline, is currently 61% public and will likely reach commercial operation around 2028.
- The H2 commissioning pipeline extends the mining narrative.** Of the 21 private projects expected to reach commercial operations in H2 2026, the largest are all corporate-led: Anglo's Hartebeesthoek (140 MW), Sasol/Air Liquide's Umsinde Emoyeni and Khangela (140 MW each), Mulilo's De Aar 2 (120 MW) and Paarde Valley PV2 (110 MW), and Seriti's Ummbila Emoyeni.

4. HISTORICAL: ANNUAL CAPACITY REACHING COMMERCIAL OPERATIONS SINCE 2011

Figure 2 places 2026 against the full 2011 to 2026 baseline, including annual capacity reaching commercial operations by procurement channel, and net capacity added on the right axis.

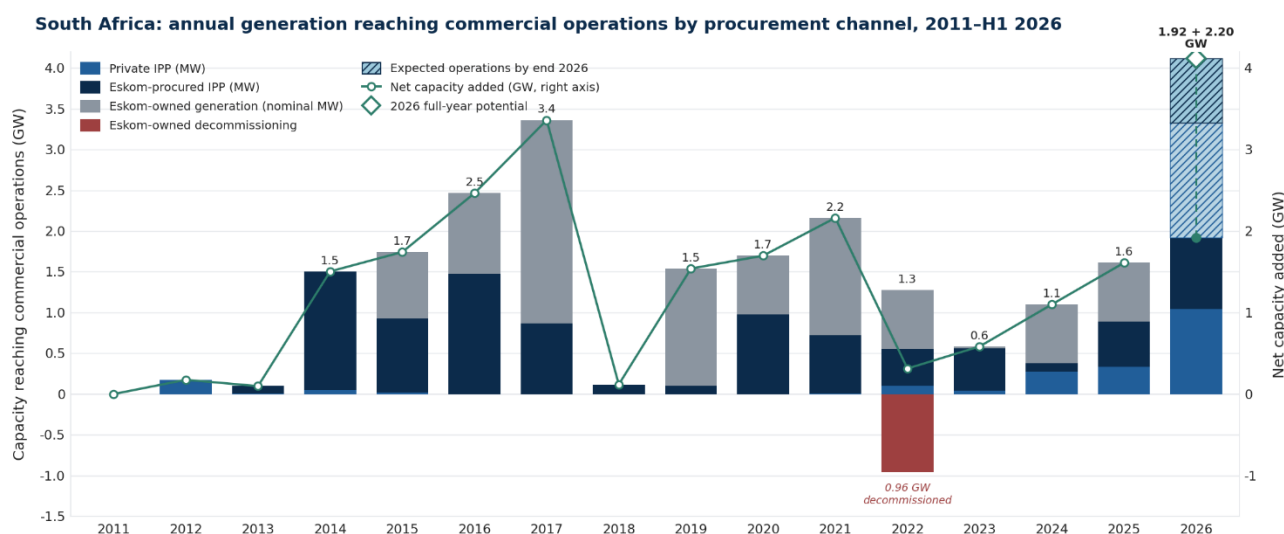


Figure 2. Annual generation reaching commercial operations in South Africa, 2011 to H1 2026, by procurement channel (in GW). 2026 shown as H1 operational (solid) plus expected H2 pipeline (hatched). Retirements plotted below zero.

Source: Power Futures Lab, IPP Knowledge Hub (July 2026). Eskom generation recorded at nominal MW. 2011 excludes the legacy Eskom fleet.

What the data show

- **2026 is a record year for commercial operations, and H1 alone already broke the record.** H1 2026 IPP commercial operations of 1,920 MW exceed every prior full-year IPP total since 2011; the previous best, 2016, delivered 1,472 MW and was almost entirely programmatic.
- **The composition of new capacity has flipped.** Eskom-owned generation dominated mid-decade additions (2015 to 2017 on Medupi and Kusile, 2019 to 2022 on Ingula and further Kusile units) but has added nothing since Kusile Unit 6 in 2025. In 2026, IPPs account for 100% of new capacity. On the current build pipelines, this shift looks set to continue.
- **Privately procured IPPs have arrived.** Private-procured commercial operations reached 279 MW in 2024 and 337 MW in 2025, and then delivered 1,046 MW in H1 2026 alone. This follows a significant regulatory change in August 2021, when NERSA raised the private generation licensing exemption threshold from 1 MW to 100 MW to enable third-party wheeling, before completely removing the cap less than a year later.
- **The procurement troughs have not recurred.** IPP commercial operations collapsed to 118 and 100 MW in 2018 and 2019, the delayed cost of the REI4P signing impasse. Nothing comparable has happened since: every year from 2020 onward has delivered at least 379 MW, and the softest recent year (2024, 379 MW) reflected timing between procurement rounds. With capacity now flowing through several procurement channels, a stall in any one no longer halts delivery (though grid access and increasing curtailment of renewables are becoming significant risks).

CONCLUSION

H1 2026 has been a significant period for the local IPP industry. A record 17 commercial operations delivering 1,920 MW confirm that the sector is delivering new capacity at scale and pace, through a wide range of contractual structures. Whether the record of 2026 becomes a plateau or a peak will be decided less by developer appetite than by transmission build-out, grid-access reform, Eskom coal plant flexibilization and decommissioning, and the independence of the transmission, system and market operator.

DATA SOURCES AND METHODOLOGY

Figures are drawn from the Power Futures Lab IPP Knowledge Hub (snapshot July 2026), which tracks IPP projects above 5 MW across South Africa, together with Eskom-owned generation records at Nominal Capacity (MW). Available at <https://powerfutureslab.co.za/research/knowledge-hub>. For Eskom-owned generation, 2011 denotes the legacy fleet at the start of the study period; later years denote the actual commercial-operations year. A project is recorded as financially closed on the date that all project finance conditions precedent have been satisfied and construction is unconditionally funded. A project is recorded as reaching commercial operation on the date the off-taker confirms operational status under the PPA. IPP capacity is presented in MWac terms throughout. REI4P Bid Window references follow official IPP Office nomenclature. Tariffs are quoted in nominal ZAR/MWh at bid-submission date, with US\$ equivalents at the bid-submission exchange rate where relevant.

Abbreviations

BESS battery energy storage system | **BESI4P** Battery Energy Storage IPP Procurement Programme | **BW** Bid Window | **C&I** commercial and industrial | **COD** commercial operation date | **EPC** engineering, procurement and construction | **FC** financial close | **IPP** independent power producer | **MW/MWh** megawatt / megawatt-hour | **NTCSA** National Transmission Company South Africa | **PPA** power purchase agreement | **REI4P / REIPPPP** Renewable Energy IPP Procurement Programme | **RMIPPPP** Risk Mitigation IPP Procurement Programme | **YTD** year to date.

About Power Futures Lab. PFL is a research and executive education centre at the UCT Graduate School of Business, focused on power sector reform, independent power production, and the clean-energy transition in Africa. Research outputs draw on proprietary project-level datasets and close engagement with regulators, utilities, developers and financiers across the continent.

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